Lakeshore Private Credit II - Q2 2026 Quarterly Report

Fund overview. Lakeshore Private Credit II (fund code PC-II) is a 2021 vintage senior secured lending fund with CAD 600 million of commitments, invested in 24 loans to mid-market borrowers.

Income. The weighted average all-in yield on the portfolio is 10.8 percent, with loans priced at CORRA plus an average spread of 575 basis points.

Covenant monitoring. One borrower, Northern Fabrication Ltd, breached its maximum leverage covenant of 4.5x net debt to EBITDA, reporting 4.9x at quarter end. The fund granted a two-quarter waiver in exchange for a 50 basis point fee and tighter monthly reporting.

Non-accruals. No loans are on non-accrual status. The watch list contains two borrowers, representing 6 percent of the portfolio.